

ECO-5004 Microeconomics (1-Year MA)

Monsoon Semester 2026 (Aug–Dec)

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Lectures:	Tu-Th 11:50 AM – 1:20 PM in AC-01-LR-103
Course Webpage:	goelsomit.com/micro.html

Course Description

This course introduces the major concepts and tools of microeconomics. Broadly, microeconomics provides a framework for studying the behavior of fundamental economic agents and incorporating that behavior into the evaluation of the institutions through which scarce resources are allocated. We begin by discussing why designing good institutions is fundamentally challenging. Much of the course then focuses on one particularly important institution, the market mechanism. We will study how consumers and producers interact to jointly determine the prices and allocation of goods, and discuss conditions under which markets promote an efficient allocation of resources, as well as sources of market failure where they may lead to inefficient outcomes. Towards the end, we will briefly discuss game theory and see how it provides a useful framework for evaluating institutions in a variety of other contexts.

Learning Objectives

- Understand when markets promote an efficient allocation of resources, when they fail, and how such failures can be addressed.
- Reason formally about institutions using the tools of game theory.
- Formulate and solve constrained optimization problems.

Prerequisites

There are no formal course prerequisites. Students should be comfortable with basic calculus and mathematical reasoning at the level expected for entry into the MA programme.

Evaluation

This course is lecture based, and student assessment focuses on problem solving. The final course grade will be composed of the following components:

Component	Weight
Assignments/Quizzes	40%
Midterm exam	30%
Final exam	30%

The numeric score will be converted to a letter grade according to the following scheme:

A	A–	B+	B	B–	C+	C	C–	D+	D	F
>95	90–95	85–90	80–85	75–80	70–75	65–70	60–65	55–60	50–55	<50

Attendance

Regular attendance in this course is expected and highly recommended.

Course Outline

Weeks	Topics
Week 1	Preferences: preferences, utility, expected utility
Week 2	Aggregating preferences: impossibility theorems
Weeks 3–4	Housing economy: market mechanism, top trading cycles
Weeks 5–6	Consumer theory: utility maximization, demand
Weeks 7–8	Exchange economy: welfare theorems, externalities
Week 9	Producer theory: profit maximization, supply
Weeks 10–11	Variants: production economy, monopoly, asymmetric information
Weeks 12–13	Game theory: Nash equilibrium, auctions, Shapley value

Readings

We will follow, to some extent, the following book:

- *Models in Microeconomic Theory* by Martin J. Osborne and Ariel Rubinstein

This syllabus is subject to change at the discretion of the instructor.